

**Business Software Alliance Comments on the Networking and Information
Technology Research and Development National Coordination Office's
Request for Information on an
Artificial Intelligence (AI) Action Plan
March 12, 2025**

The Administration's Artificial Intelligence (AI) Action Plan is coming at a critical time. The policies created today will determine how AI is developed and deployed; where the technology will create the most jobs; and who will set the rules of the road. The Business Software Alliance (BSA)¹ appreciates the opportunity to provide input into the Action Plan, aimed at strengthening US leadership on AI and advancing American competitiveness and security.

We encourage the Administration to take the bold steps necessary to promote both the development and adoption of AI technology in the US. Broadly, we recommend that the Administration advocate one, harmonized, flexible, and workable standard for AI governance that will give companies in all industries confidence to adopt AI solutions to grow and create jobs. The potential for different rules from each regulatory agency and all 50 states is confusing and inefficient for both developers and adopters.

We also recommend that the President lead like-minded trading partners on AI policy. In his first term, President Trump created digital trade deals that remain the gold standard for digital agreements. In doing so, he cemented policies on those issues that bring other countries into commitments that will ultimately benefit everyone. The AI Action Plan should expand on this concept to incorporate AI policy leadership.

We provide several specific recommendations below. The recommendations are consistent with Executive Orders (EOs) issued by President Trump on AI in 2019 and

¹ BSA is the leading advocate for the global enterprise software industry. We advocate policies that build trust in technology so that the government, every industry sector, and the public can benefit from innovation. BSA members are at the forefront of providing AI, cybersecurity, cloud computing, and other cutting-edge technologies. As a result, they have unique insights into AI's tremendous potential to spur digital transformation and the policies that can best support the responsible use of AI.

BSA's members include: Adobe, Alteryx, Asana, Atlassian, Autodesk, Bentley Systems, Box, Cisco, Cohere, Dassault Systemes, Databricks, DocuSign, Dropbox, Elastic, EY, Graphisoft, HubSpot, IBM, Informatica, Kyndryl, MathWorks, Microsoft, Notion, Okta, OpenAI, Oracle, PagerDuty, Palo Alto Networks, Rubrik, Salesforce, SAP, ServiceNow, Shopify Inc., Siemens Industry Software Inc., Trend Micro, TriNet, Twilio, Workday, Zendesk, and Zoom Communications, Inc.

2020. Among other things, these EOs promoted investment in science and technology, including research, workforce development, and preserving America's advantage on AI against competitors and adversarial nations.² The focus on these issues was essential to maintaining US leadership on AI in 2019, and the same is true today.

In fact, recent technological developments in other countries, including China, and the new global policy and regulatory landscape, only strengthen the need to act. We encourage you to use these priorities President Trump highlighted six years ago as guideposts in developing the AI Action Plan. We provide below recommendations that align with these priorities and identify specific ways to accomplish these objectives.³ Specifically, we urge the Administration to:

- (1) Promote government efficiency by streamlining and strengthening federal agencies' trustworthy and secure adoption of AI;
- (2) Increase investment in research and development (R&D) and AI infrastructure, including by expanding the National AI Research Resource (NAIRR), creating a dedicated technical initiative to advance AI science, and supporting open source;
- (3) Pursue strategic engagement in international AI initiatives, including promoting digital trade policies that preserve the competitiveness of American businesses, promoting global interoperability on policy approaches, and facilitating international standards and scientific approaches that align with US insights and priorities;
- (4) Strengthen educational and workforce development to create and protect American jobs; and
- (5) Ensure continued American leadership on AI innovation by leveraging US copyright law's flexibility to enable AI training through the "fair use" exception, ensuring copyrightability of AI outputs where there is sufficient human creativity, and protecting software incorporating AI outputs.

Importantly, a key part of implementing these recommendations will be continued engagement with the private sector, which is a critical partner and can provide technical expertise, resources, and other insights on a range of relevant issues, including skills development, research priorities, and how best to leverage AI tools. BSA stands ready to assist in this important effort.

² See Executive Order 13859, Maintaining American Leadership in Artificial Intelligence, February 11, 2019, available at <https://trumpwhitehouse.archives.gov/ai/executive-order-ai/>.

³ Pursuant to the instructions in the [Request for Information](#), we provide the following statement: This document is approved for public dissemination. The document contains no business-proprietary or confidential information. Document contents may be reused by the government in developing the AI Action Plan and associated documents without attribution.

I. Promote Government Efficiency by Streamlining and Strengthening Federal Agencies' Trustworthy and Secure Adoption of AI.

One important way to spur AI adoption, which would boost efficiencies across industries and provide significant economic growth, is for the government to lead by example – increase adoption of AI to advance the government's mission and implement governance practices that ensure trustworthy and secure AI use. President Trump previously recognized the importance of addressing government use of AI in his first term, issuing EO 13960 on "Promoting the Use of Trustworthy AI in the Federal Government."⁴

BSA also supports this important priority. We encourage the US government to increase its AI adoption to improve government efficiency, including by streamlining operations and reducing time to complete tasks, and provide better, more tailored services to Americans, such as health care to veterans. Importantly, we also support efforts to ensure that agencies use AI responsibly and securely in accomplishing these tasks. Indeed, responsible governance practices are key enablers of AI adoption because they provide more streamlined and uniform approaches that make it easier for the government to use innovative technologies.

As part of the implementation of EO 14179, "Removing Barriers to American Leadership in Artificial Intelligence,"⁵ the Trump Administration is reviewing how Office of Management and Budget (OMB) memos M-24-10 and M-24-18 on government use and acquisition of AI should be revised to align with the Administration's policy. BSA recently provided input to OMB on considerations to take into account when conducting this review, emphasizing the importance of a whole-of-government strategy for spurring AI adoption and recommending improved approaches to remove barriers to AI adoption, improve AI governance, harmonize agency practices, and make acquisition processes and requirements more efficient and workable.⁶

Specifically, BSA's letter to OMB recommends that the Administration: (1) strengthen AI governance; (2) advance AI innovation by modernizing IT infrastructure to enable use of AI tools, including through the use of multi-cloud environments and digitizing government data maintained in usable formats, strengthening capabilities of the federal workforce, and making more non-sensitive government data publicly available to power new AI insights; (3) reset the government's approach to risk management by establishing a

⁴ See Executive Order 13960, Promoting the Use of Trustworthy AI in the Federal Government," December 8, 2020, available at <https://www.federalregister.gov/documents/2020/12/08/2020-27065/promoting-the-use-of-trustworthy-artificial-intelligence-in-the-federal-government>.

⁵ See Executive Order 14179, Removing Barriers to American Leadership in Artificial Intelligence, Jan. 23, 2025, available at <https://www.federalregister.gov/documents/2025/01/31/2025-02172/removing-barriers-to-american-leadership-in-artificial-intelligence>.

⁶ See BSA Letter to Office of Management and Budget Director Russell Vought, Mar. 12, 2025, available at <https://www.bsa.org/policy-filings/us-bsa-letter-to-office-of-management-and-budget-on-revisions-to-omb-memos-on-government-use-and-acquisition-of-ai>.

uniform, risk-based approach, such as by leveraging the US National Institutes of Standards and Technology's (NIST) AI Risk Management Framework, and tailoring the scope of agencies' risk management practices to truly high-risk uses of AI that are needed to ensure trustworthiness; (5) implement more streamlined procurement policies that enable the government to leverage new technologies more effectively, such as prioritizing the use of commercial products, making the Federal Risk and Authorization Management Program (FedRAMP) more efficient, and ensuring regulatory consistency; (7) ensure procurement obligations for vendors protect the confidentiality of proprietary information and can be operationalized in practice; (8) examine the need for any new incident reporting requirements, including by clarifying and harmonizing the scope of reportable AI incidents, avoiding overlap with other incident reporting requirements, providing reasonable time for reporting, and preventing public disclosure; (9) promote transparency of AI-generated content through open technical standards for content authentication and provenance; (10) revise testing requirements and risk mitigation practices for generative AI, including clarifying the scope of risk categories and enabling more effective mechanisms to legally implement safeguards, such as expanding access to relevant, high-quality datasets; and (9) ensure obligations are feasible to implement. BSA's letter to OMB, included in the references below, provides more specific suggestions on how to accomplish these objectives.

Recommendation: The Trump Administration should spur AI adoption by removing barriers to government use of AI, including modernizing IT infrastructure, digitizing government data and maintaining it in usable formats, and strengthening the capacity of the federal workforce; strengthening AI governance, including by leveraging the NIST AI RMF across agencies and focusing on high-risk uses of AI; and making procurement policies more streamlined, efficient, and workable, including prioritizing the use of commercial products, improving FedRAMP, ensuring regulatory consistency, protecting sensitive proprietary information, examining the need for any new incident reporting requirements, promoting the transparency of AI-generated content, revising testing requirements, including providing mechanisms to ensure that safeguards can be legally implemented, and making obligations for vendors feasible to implement.

II. Increase Investments in R&D and AI Infrastructure.

President Trump prioritized AI research and development in his first term, and the Administration should build on his previous successes in this area. Indeed, President Trump directed federal agencies to promote sustained investment in AI R&D in EO 13859, updated the National AI R&D Strategic Plan in 2019 to, among other things, identify key topics for future research, and established the first-ever national AI research institute. In the last few years, there have been several other efforts to build on these efforts, leading to, among other things, the launch of 25 AI research institutes that connect over 500 funded and collaborative institutions across the country and around the world. But there is still more work to do. Global competition on AI has grown, not abated. The Trump

Administration should continue to prioritize multi-faceted ways to invest in AI R&D and infrastructure including, for example, by increasing funding for basic research at the National Science Foundation and through universities, and by fostering investments in AI infrastructure nationally to, among other things, strengthen its resilience and update American connectivity infrastructure to enable use of AI tools. In particular, the Administration's AI Action Plan should also prioritize two key initiatives: (1) advancing AI science, including by designating a group of US government employees responsible for focusing on this effort; and (2) expanding the NAIIR pilot project.

a. Advance AI Science to Maintain American Leadership on AI.

Advancing AI science is essential to responsible AI adoption. The AI marketplace needs more scientific research on critical technical issues, including identifying effective measures for evaluating capabilities and risks of both AI models and systems and establishing scientifically valid, systemized AI testing protocols and benchmarks for acceptable outcomes. This is important not only for companies aiming to develop responsible AI, but also to their customers, including the public sector, to assure them that AI tools have been designed in ways that are reliable, secure, and function as intended. Importantly, the US government can aid in this effort. While it is important to maintain the long-standing US approach to an industry-led, multistakeholder process for developing standards, the US government has a critical role to play. In particular, it can conduct or invest in pre-standardization research on these important issues and lay the foundation for adoption of international AI standards that align with US insights.

These international standards provide several benefits to American companies. First, they increase competition by enabling small businesses that may lack significant expertise and resources to adopt the same standards leveraged by larger companies. Second, they enable global interoperability by establishing standards that can be used across jurisdictions, lowering the barriers of entry into global markets for American companies, including startups and small businesses, which is vital to maintaining American competitiveness. Third, they ensure development of evaluation and testing methods that work in practice by those who must use them, easing implementation burdens for companies and making tools more effective. Finally, they provide a common baseline for responsible AI development and assurance, fostering trust in the global AI ecosystem necessary to catalyze increased adoption of American AI products and services.

In light of these benefits, the Trump Administration's Action Plan should include key steps necessary to advance AI science and international AI standards, including: (1) designating a dedicated group of US government personnel who are subject matter experts to focus on AI science issues, including research on AI testing; (2) clearly outlining objectives for the group that focus on technical, not policy, issues; and (3) directing the group to collaborate with industry leaders to leverage insights on how potential technical solutions work in practice, including initiating a public consultation on specific areas of research that are necessary to enhance AI testing capabilities. We note that NIST, as part of its

long-standing mission, has historically played a significant role in scientific research and facilitating industry-led development of international standards, including through the previous administration's AI Safety Institute's initiatives. Consequently, the Trump Administration should consider leveraging NIST's considerable technical expertise to advance AI science and standards, including the development and adoption of existing open technical standards for digital content provenance, as part of its reset of US AI policy and development of the Action Plan. The importance of this effort cannot be overstated. Scientific breakthroughs in AI are a catalyst for continued American innovation and economic growth.

But this group of scientific experts cannot focus on developments in the United States alone. As discussed below, the proliferation of international AI safety institutes and related initiatives around the world strengthen the imperative not only to unlock AI innovation in the United States, but also to lead the global conversations with other technical experts on similar efforts to advance trustworthy AI development and use, which includes sharing amongst government and industry stakeholders of AI-specific security threats. Ensuring that there are US government (or funded) experts who are principally charged with developing scientifically valid approaches to enhancing AI development, including much-needed protocols for evaluation and testing, and that related global efforts align with the US government's work, is paramount. As a result, this new group of experts that the Trump Administration designates should also facilitate the adoption of the group's research outcomes by international standards organizations to establish US solutions as global practices, enabling America to lead the world on the future of AI. Indeed, this is necessary to "ensure that American AI technology continues to be the gold standard worldwide," as Vice President Vance outlined in his recent remarks at the Paris AI Action Summit, spur continued innovation fueling America's economic growth, and protect our national security, including from threats by foreign adversaries who exploit foreign AI models developed without robust testing protocols established by US researchers.

b. Expand the NAIRR.

President Trump's EO 13859 also recognized the importance of increasing access to key resources, including data, necessary to conduct AI research. The National AI Initiative Act of 2020, which Congress enacted at the end of President Trump's first term, directed the creation of a NAIRR Task Force to explore the feasibility of creating a shared national research infrastructure for educators and researchers to access the necessary computational, data, software, and educational resources to accelerate research and innovation.⁷ As a result of the implementation of these efforts, which began during President Trump's first term, a pilot program for the NAIRR now exists, which is a small, but necessary, step toward broadening access to critical resources that enable a wider range of people to contribute to AI research, expanding the number of research topics

⁷ See National Artificial Intelligence Initiative Act of 2020 (Pub.L. 116-283) § 5106(a)(1)(A), 15 U.S.C. § 9415(a)(1)(A).

and different perspectives that result in more informed, robust solutions. Notably, NAIRR Secure, a part of the NAIRR pilot program led by the Department of Energy and National Institutes of Health, is exploring new mechanisms to combine sensitive data in ways that preserve privacy and security, a critical step in increasing the breadth and utility of data that can fuel more groundbreaking AI insights, such as advancing precision medicine to improve healthcare.

Despite this progress, the pilot project is limited in scope and impact. The AI Action Plan should expand the NAIRR pilot program to transition it to a fully developed, permanent US government initiative with a broader scope, more participants, and sufficient funding. In doing so, it can significantly advance AI R&D, enabling discoveries that improve the capabilities of AI to learn and reason; application across industry sectors, stimulating broad-based economic growth; and acceleration of research in other areas, including engineering and other scientific fields powering American innovation. Indeed, the use of AI to advance other research areas is well-documented. For example, AI's ability to quickly analyze large volumes of data accelerates analysis of genetic sequences in drug discovery and simulation of complex engineering scenarios, speeding up research timelines and quickly delivering critical insights.⁸ The potential for the shared research infrastructure to provide similar breakthroughs is immense, and the Trump Administration should seize the opportunity to amplify this effort by expanding the NAIRR pilot project.

c. Support Open Source.

Open source is a critical component of the AI ecosystem. It expands the AI marketplace, enhances the diversity of product offerings, promotes transparency, and enables vulnerabilities to be identified and remediated. Importantly, it also enables widespread research on enhancing AI capabilities and evaluation, which are key drivers for enabling new AI uses and improving trustworthiness, resulting in increased adoption and related economic growth. As a result, the Trump Administration should recognize the important role that open source plays in AI research and development and adopt policies that support both open source and proprietary AI systems.

Recommendation: The Trump Administration should invest in AI R&D and infrastructure to maintain American AI leadership by advancing AI science, including by: (1) designating a group of US government experts focused on this issue that, among other things, prepares pre-standardization AI research, in collaboration with external stakeholders; (2) make the NAIRR pilot project a permanent program to catalyze additional AI research; and (3) supporting open source.

⁸ See Gary Drenik, Forbes, How AI Is Accelerating Innovation in Research and Development, June 18, 2024, available at <https://www.forbes.com/sites/garydrenik/2024/06/18/how-ai-is-accelerating-innovation-in-research-and-development/>.

III. Pursue Strategic Engagement on International AI Initiatives.

We also urge the Administration to maintain its engagement in international initiatives. In his first term, President Trump helped establish America as a leader in shaping the global approach to AI, and he can now solidify this position. Indeed, the previous Trump Administration forged key international alliances on AI, including launching the Global Partnership on AI, signing a bilateral agreement on R&D cooperation with the United Kingdom, and helping advance the publication of the OECD's AI principles, which have influenced AI policy approaches around the world. It is crucial that President Trump continue similar efforts to maintain American prosperity for myriad reasons, including those highlighted below. In short, extensive engagement with foreign partners is necessary to promote the adoption of US approaches abroad that maintain American businesses' competitiveness and protect America's national and economic security from growing threats from foreign adversaries.

First, US engagement with foreign countries is necessary to advance trade policies that ensure other countries do not create barriers to market entry for American companies. Indeed, expanding access to foreign markets is a significant potential growth opportunity for American businesses. In 2023, US exports of digitally delivered services was \$656 billion, 64% of total services exports, and a 31% increase since 2018.⁹ As these statistics illustrate, the ability to sell digital products and services abroad not only benefits American companies, but it is also critical to the stability and growth of the US economy. The US government plays a pivotal role in protecting American companies' access to foreign markets by reducing technical barriers to trade, including requirements for data localization and source code disclosures, which limit insights of data-driven technologies, including AI, create compliance challenges for US companies operating globally, and undermine American companies' ability to protect trade secrets and proprietary information, reducing their competitiveness.

In particular, the Trump Administration should adopt a market-driven approach to export controls that accomplishes two important goals – supports the global adoption of democratic AI systems that protect U.S.-developed IP against state-sponsored industrial espionage and theft and promotes the broad deployment of U.S.-developed compute, models, and other infrastructure to countries around the world. As stated in the US Department of Commerce's Bureau of Industry and Security's core mission statement, export controls must "not impose unreasonable restrictions on legitimate international commercial activity that is necessary for the health of US industry," and must avoid "actions that compromise the international competitiveness of US industry without any appreciable national security benefits." Sustained engagement with foreign trade partners

⁹ Congressional Research Service, Digital Trade and Data Policy: Key Issues Facing Congress, Jan. 6, 2025, *available at* <https://crsreports.congress.gov/product/pdf/IF/IF12347#:~:text=Digital%20trade%20includes%20trade%20i n,%2C%20streaming%20or%20cloud%20services>).

is necessary to protect the interests of American businesses and their ability to create American jobs at home.

Second, it is critical that the US government ensure interoperability of policy and legal frameworks to, among other things, enable companies to compete globally and avoid being shut out from operating in foreign markets because of cost-prohibitive compliance challenges created by inconsistent requirements across jurisdictions. This is particularly important for America's small businesses, which may lack the resources to comply with burdensome and conflicting legal requirements. To avoid this result, strong collaboration with foreign partners is necessary to shape globally interoperable approaches. For example, several multilateral initiatives are developing governance approaches for AI, including the G7 and the United Nations. We encourage the Trump Administration to maintain a seat at the table in these dialogues. In doing so, it can both protect the interests of American companies, including from the creation of burdensome approaches that limit innovation and disfavor US approaches, and promote American frameworks, such as the NIST AI RMF, as an effective global approach, which provides US companies with consistent, predictable benchmarks that ease implementation of AI governance best practices.

Third, leveraging US scientific research to inform international approaches and standards development, as discussed above, requires sustained bilateral and multilateral engagement to garner support among other countries to advance these technical contributions among the broader scientific community and external stakeholders, obtain global standardization, and promote widespread adoption and use to realize the benefits of standardization. This includes, among other things, engagement with European standards bodies implementing the EU AI Act, as well as the International Network of AI Safety Institutes, to avoid inconsistent outcomes, impractical guidance, or unreasonable obligations for leading US AI innovators. US engagement is also important to protect American interests by ensuring participating organizations focus exclusively on scientific research and technical contributions that are not influenced by national policy approaches or geopolitical considerations.

Fourth, US engagement with other countries, including developing nations, is critical to protect America's national and economic security by stymying China's strategy to invest in, export its technology to, and forge alliances with developing countries to increase its global influence. Indeed, China's chief administrative authority previously stated that it plans to become the "world's premier [AI] innovation centre" by 2030, and it recently announced China's intention to hold 10 AI capacity-building workshops for developing countries by the end of 2025.¹⁰ Further, by 2023, China had secured investments across 15 African countries to supply 10 times more power than US investments, which cover

¹⁰ See The People's Republic of China Ministry of Foreign Affairs, AI Capacity-Building Action Plan for Good and for All, *available at* https://www.mfa.gov.cn/eng/wjbzhd/202409/t20240927_11498465.html#:~:text=%E2%80%94China%20is%20ready%20to%20establish,AI%20technology%20and%20its%20applications.

only three countries.¹¹ Chinese companies, such as Alibaba and Huawei, have also expanded their presence in Africa, offering cloud services and investing in data centers across the continent.¹² In addition, China, largely through its Belt and Road Initiative, is exporting its technology to developing countries in Latin America, Africa, and Southeast Asia. These increased exports enlarge China's market share and, notably, expand its access to data, including rich, unique local datasets enabling the creation of AI models that may perform better in foreign markets, increasing competition with American firms, which may lack access to similar localized data.¹³ China's strategy to become the engine for economic and technological growth for developing countries could allow it to assert its influence on them in a range of critical settings, including defensive alliances and economic partnerships. As a result, it is imperative that the US government increase its engagement with emerging economies to counter China's growing influence.

As Michael Kratsios, serving as the Chief Technology Officer in President Trump's first term, wrote in 2020, "[N]ations face a stark choice about what vision of AI] will prevail."¹⁴ Right now, countries can choose an American vision of AI that advances democracy and aligns with US economic and national security interests, or China's vision, which promotes authoritarianism and poses threats to American leadership and security. US engagement with foreign partners is critical to ensuring countries make the right choice and to combatting this intense competition for global economic, technological, and thought leadership. Indeed, it is a key factor in determining not only whether America remains at the forefront of AI innovation, but also whether it maintains its standing as the world leader on a range of other important issues that will shape our future. In short, our work abroad is a key driver of how we thrive at home. As a result, the AI Action Plan should prioritize engagement with foreign countries because it is how we keep America first.

Recommendation: The Trump Administration should engage with foreign partners to advance American AI innovation and leadership and protect America's economic and national security, including by promoting strong digital trade policies that maintain American competitiveness, global interoperability of AI policies, adoption of international AI standards, and collaboration with emerging economies.

¹¹ See Alberto Lemma, ODI Global, Will China's Influence in Africa's AI Revolution Undermine Its Sovereignty?, available at <https://odi.org/en/insights/opinion-will-chinas-influence-in-africas-ai-revolution-undermine-its-sovereignty/>.

¹² For instance, Huawei has announced plans to invest \$430 million in data centers in Africa, and Alibaba is already providing cloud services in South Africa.

¹³ See Shaoyu Yuan, The Conversation, China leans into using AI – even as the US leads in developing it, Aug. 21, 2024, available at <https://theconversation.com/china-leans-into-using-ai-even-as-the-us-leads-in-developing-it-236557#:~:text=Strategic%20exports,viable%20alternative%20to%20Western%20democracy>. See Wilson Center, America's AI Strategy: Playing Defense While China Plays to Win, available at <https://www.wilsoncenter.org/article/americas-ai-strategy-playing-defense-while-china-plays-win>.

¹⁴ Michael Kratsios, Wall St. J., Artificial Intelligence Can Serve Democracy, May 27, 2020, available at <https://www.wsj.com/articles/artificial-intelligence-can-serve-democracy-11590618319>.

IV. Strengthen Educational and Workforce Development to Create and Protect American Jobs.

President Trump has adopted several measures to strengthen American workers. In addition to outlining steps to help American workers in EO 13859 in his first term, President Trump also issued Executive Order 13845, establishing the National Council for the American Worker to train and retrain workers across high-demand industries.¹⁵ We encourage the new Administration to continue similar efforts to prepare our kids and American workers for future jobs created or changed by AI-enabled innovation. The acceleration of AI adoption across every sector of the economy has made this priority even more urgent. Increasing access to STEM education, including in rural areas, is a key driver of economic growth, and countries all over the world are competing to ensure they have the AI talent to stay ahead. For example, in 2021, China had about six times more engineering graduates than the United States.¹⁶ We must close this gap.

Generally, the Trump Administration's Action Plan should identify mechanisms that will: (1) inform the broader ecosystem how to prepare for the jobs of the future; (2) expand access to digital skills; and (3) ensure that education for K-12 students prepares them for AI-enabled jobs upon graduation. As an initial matter, the Trump Administration's Action Plan should include action items that can enhance our understanding of the skills that workforce training initiatives should address. For example, the Trump Administration should establish a public-private partnership that improves the availability of real-time labor data. Enhanced access to real-time labor data could provide employers and workers with better visibility into the skillsets that are most in-demand in their markets, allowing them to make informed choices about the types of reskilling efforts that will generate the most opportunity. Real-time labor data would also improve the efficacy of federal, state, and local employment strategies, program development, and resource allocation to address rapidly evolving workforce challenges, including supporting skills-based hiring initiatives, which President Trump prioritized in Executive Order 13932 on "Modernizing and Reforming the Assessment and Hiring of Federal Job Candidates."

Second, the Action Plan should also include mechanisms for broadening access to training programs. For example, the Trump Administration should work with industry and state and local organizations to create alternative paths to AI careers that enable workers to develop high-demand technology skills without the need for a bachelor's degree from a four-year university or graduate degree. Hands-on competitions and programs like apprenticeships, partnerships with community colleges, "boot camps," and public service

¹⁵ See Executive Order 13845, Establishing the President's National Council for the American Worker, available at <https://www.federalregister.gov/documents/2018/07/24/2018-15955/establishing-the-presidents-national-council-for-the-american-worker>.

¹⁶ See David P. Goldman, Insulating Ourselves from Chinese Tech and Talent Will Stifle American Industry, Newsweek, Jan. 19, 2024, available at <https://www.newsweek.com/excluding-chinese-military-engineers-us-will-stifle-american-industry-opinion-1862319>.

opportunities are all important gateways helping new and mid-career workers develop in-demand digital skills.

Third, the Action Plan should address how to ensure K-12 students are prepared for AI-enabled employment opportunities. These efforts should include identifying mechanisms to improve access and support for STEM education, such as further collaboration with relevant stakeholders on developing appropriate curricula and increasing its use at schools across the country, and creation of high school student internship opportunities at technology and other companies leveraging AI and other emerging technologies.

Recommendation: The Trump Administration’s Action Plan should include measures to strengthen the American workforce by: (1) providing information to help understand future needs of employers leveraging AI, including by releasing real-time labor data; (2) creating new opportunities to obtain access to digital skills, such as partnerships with community colleges and apprenticeships; and (3) strengthening STEM education for K-12 students and internships for high school students.

V. Ensure American AI Innovation by Preserving Continued AI Training on Copyrighted Information Under “Fair Use” Exception in Copyright Law.

President Trump recognizes the importance of the United States winning the AI race. To that end, the United States must enable its most innovative companies to conduct AI training and to recoup their substantial investments in computational analysis and infrastructure built here in the United States. BSA – whose members are major US copyright holders and AI developers – is well positioned to engage with the White House on these issues.

Essential to AI development is access to a sufficiently large set of data so that computational analysis can reliably identify correlations, patterns, and other metadata to develop an AI model that can make predictions while minimizing risk of inaccuracy or error. Some of that data may be a component of a copyrighted work, but the use of the data for AI training is not related to the work’s creative expression. US copyright law, through its “fair use” exception, enables this training where it includes copyrighted material, and that flexible approach is critical to increasing AI adoption and preserving US leadership on AI innovation. BSA encourages the AI Action plan to continue support for this approach.

Copyright owners should and do have full and effective remedies if the output of an AI system infringes their rights. BSA has also encouraged Congress to consider a digital replica law to protect artists.

Importantly, the copyrightability of AI outputs where there was sufficient human creativity and protection of software incorporating AI outputs are also essential to increased AI investment and innovation.

BSA also encourages more work on consensus-based, machine-readable tools to indicate that a content licensor does not want a website used for training purposes, and can thereby opt-out of training. In fact, there is already a burgeoning ecosystem for such private collaboration between AI developers and deployers on the one hand, and licensors of creative content on the other.

Large licensors of commercial content, including Chinese- and other foreign-invested enterprises, lobbied the prior Administration to adopt measures that would benefit those companies at the expense of American AI-driven science, ingenuity, and creativity. Such proposals jeopardize our AI competitiveness, improperly limiting scientific research and the generation of new IP in the United States more broadly.

Recommendation: We urge the Trump Administration to adopt a pro-innovation AI and IP policy that gives AI developers confidence to train AI models and systems in the United States. This means ensuring that the White House, Justice Department, and Commerce Department (and the US Patent & Trademark Office and the Copyright Office) advance innovation and IP policies that support US AI leadership and competitiveness. This includes standing up in support of longstanding US legal norms that treat non-consumptive uses of copyrighted content as a fair use in US law. It also means supporting similar norms, including statutory provisions enabling AI training, among US allies and partners.

The steps highlighted above are critical to achieving the EO's goal to "solidify our position as the global leader in AI and secure a brighter future for all Americans." As noted above, it is critical that the Administration partner with industry to leverage its expertise to achieve this goal, and BSA looks forward to working with you to help accomplish this objective.

Respectfully submitted,

Shaundra Watson
Senior Director, Policy